# Practice workbook · Why businesses give trade discount and cash discount

The purpose of trade discount and of cash discount, and what the seller gains from each.

13 question parts: 1 worked-example retry and 12 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-REC-03

# 1. Question 14 · part a · 2 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part a only.

**14** (a) State **two** benefits to a business of offering a trade discount.

**(2)**

1 .....

2 .....

Mira owns a retail business. She maintains a full set of accounting records.

On 1 March 2025, the balances on Mira's trade receivables ledger were Alicia, $1 440, and BZ Traders, $458

Mira allows Alicia a 10% trade discount.

During March 2025, the following transactions took place.

| March 2025 | Transaction |
|---|---|
| 10 | Received a cheque, $426, from BZ Traders in part settlement of the outstanding balance at 1 March 2025. |
| 10 | Sold goods on credit to Alicia, list price $850 |
| 12 | Sold goods on credit to BZ Traders, list price $310 |
| 16 | Alicia returned damaged goods to Mira, list price $120 |
| 19 | Received notice from the bank that the cheque received from BZ Traders, $426, had been dishonoured. |
| 30 | Alicia settled the outstanding balance at 1 March 2025 by bank transfer after taking a cash discount of 5%. |
| 31 | Mira wrote off $32 on BZ Traders' account as irrecoverable. |

(b) Prepare a journal entry to record the transaction on 31 March 2025. A narrative **is** required.

**(3)**

**Journal**

| Date 2025 | Account | Debit $ | Credit $ |
|---|---|---|---|
| March 31 | | | |
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## 1. Question 14 · part a · 2 marks · Working and answer

Working and answer

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## 2. Question 4 · part whole · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part whole only.

**4** Which **one** of the following is a reason for offering a cash discount?

- ☒ **A** Bulk buying
- ☒ **B** Paying in cash
- ☒ **C** Prompt payment
- ☒ **D** Repeat business

**(Total for Question 4 = 1 mark)**

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Working and answer

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## 3. Question 14 · part c.i · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c.i only.

**14** Leon buys and sells goods only on credit.

(a) Complete the table.

(6)

| Transaction | Source document | Book of original entry |
|---|---|---|
| Sold goods | | |
| Received payment from customer | | |
| Purchased a non-current asset on credit | | |

On 1 March 2020 the balance owing by Leon to Jay, a credit supplier, was $1 250

The following transactions took place during March 2020.

| March | Transaction |
|---|---|
| 3 | Purchased goods on credit, $615 |
| 8 | Returned faulty goods, $38 |
| 23 | Paid the balance at 1 March 2020 by direct debit after deducting 2% cash discount. |

(b) (i) Prepare Jay's account. Balance the account on 31 March 2020 and bring the balance down on 1 April 2020.

(6)

**Jay's Account**

| Date | Details | $ | Date | Details | $ |
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## 3. Question 14 · part c.i · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c.i only.

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(ii) Identify, indicating with a tick (✓), the ledger in which Jay's account would be maintained in Leon's books.

(1)

| | |
|---|---|
| Nominal ledger | |
| Receivables ledger | |
| Payables ledger | |

(c) State **one** reason why a business offers:

(i) trade discount

(1)

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.....

(ii) cash discount.

(1)

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.....

**(Total for Question 14 = 15 marks)**

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Working and answer

# 4. Question 14 · part c.ii · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c.ii only.

**14** Leon buys and sells goods only on credit.

(a) Complete the table.

(6)

| Transaction | Source document | Book of original entry |
|---|---|---|
| Sold goods | | |
| Received payment from customer | | |
| Purchased a non-current asset on credit | | |

On 1 March 2020 the balance owing by Leon to Jay, a credit supplier, was $1 250

The following transactions took place during March 2020.

| March | Transaction |
|---|---|
| 3 | Purchased goods on credit, $615 |
| 8 | Returned faulty goods, $38 |
| 23 | Paid the balance at 1 March 2020 by direct debit after deducting 2% cash discount. |

(b) (i) Prepare Jay's account. Balance the account on 31 March 2020 and bring the balance down on 1 April 2020.

(6)

**Jay's Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
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# 4. Question 14 · part c.ii · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c.ii only.

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(ii) Identify, indicating with a tick (✓), the ledger in which Jay's account would be maintained in Leon's books.

(1)

| | |
|---|---|
| Nominal ledger | |
| Receivables ledger | |
| Payables ledger | |

(c) State **one** reason why a business offers:

(i) trade discount

(1)

.....

.....

(ii) cash discount.

(1)

.....

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**(Total for Question 14 = 15 marks)**

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Working and answer

## 5. Question 8 · part whole · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part whole only.

**8** Identify when a customer would receive a cash discount.

- ☒ **A** Bulk purchases
- ☒ **B** Payment made by cash
- ☒ **C** Payment made within agreed time
- ☒ **D** Regular purchases

**(Total for Question 8 = 1 mark)**

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Working and answer

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## 6. Question 3 · part whole · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part whole only.

**3** Identify which is a reason for offering a cash discount.

- ☒ **A** Paying in cash
- ☒ **B** Paying promptly
- ☒ **C** Purchasing in bulk
- ☒ **D** Regular customer

**(Total for Question 3 = 1 mark)**

DO NO

Working and answer

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## 7. Question 15 · part a · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part a only.

**15** (a) State **two** reasons for offering a trade discount.

**(2)**

1 .....

.....

2 .....

.....

(b) State **two** reasons why a credit customer's account may have a credit balance.

**(2)**

1 .....

.....

2 .....

.....

Kirk maintains a full set of accounting books and offers credit customers a 5% trade discount on orders over $1 000

During January 2023 the following transactions took place between Kirk and Bella.

| January 2023 | Transaction |
|---|---|
| 2 | Cheque received, $3 500, in full settlement of the account balance on 1 January 2023 of $3 720 |
| 9 | Sold goods, list price $880 |
| 17 | Returned goods sold on 9 January 2023, $170 |
| 28 | Sold goods, list price $1 300 |

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## 7. Question 15 · part a · 2 marks · Working and answer

Working and answer

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## 8. Question 2 · part whole · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part whole only.

**2** Identify the reason for offering a cash discount.

- ☒ **A** To encourage bulk buying
- ☒ **B** To encourage prompt payment
- ☒ **C** To gain new customers
- ☒ **D** To reward loyalty

**(Total for Question 2 = 1 mark)**

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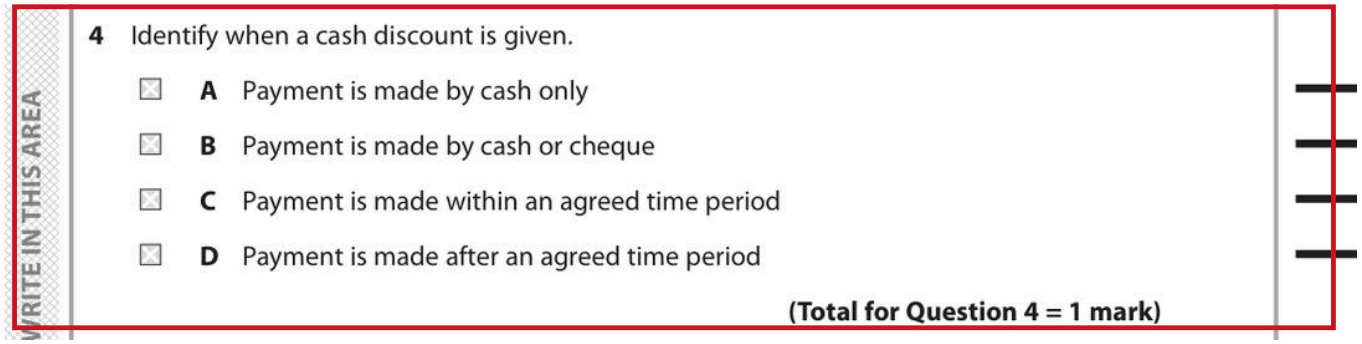
Working and answer

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## 9. Question 4 · part whole · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.




Working and answer

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## 10. Question 14 · part a · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

**14** (a) State **two** reasons why a business may offer a trade discount to customers.

**(2)**

1 .....

2 .....

Moore is a wholesaler who sells goods on a credit basis to several local retailers.

All his credit customers receive a 10% trade discount.

On 1 March 2024 the following balances were due from his credit customers.

| Customer | $ |
|---|---|
| Park Stores | 400 |
| Green News | 1 256 |
| Mary's Sweets | 176 |

During the month of March 2024, the following transactions took place.

| March 2024 | Transaction |
|---|---|
| 3 | Sold goods on credit to Park Stores, list price $120 |
| 7 | Green News returned goods, list price $50 |
| 11 | Received a cheque from Mary's Sweets in settlement of her account balance on 1 March 2024. |
| 18 | Sold goods on credit to Green News, list price $280 |
| 28 | Received a cheque from Green News in full settlement of its account. |
| 29 | Sold goods on credit to Park Stores, list price $280 |
| 30 | Received a cheque from Park Stores on account, $500 |
| 30 | The cheque received from Mary's Sweets on 11 March 2024 is returned by the bank as dishonoured. |

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## 10. Question 14 · part a · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

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(b) Prepare the following ledger accounts in the books of Moore.

Balance the accounts on 31 March 2024 and bring the balances down on 1 April 2024.

**(11)**

**Park Stores Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
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**Green News Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
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**Mary's Sweets Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
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## 10. Question 14 · part a · 2 marks · Working and answer

Working and answer

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## 11. Question 14 · part c · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

**14** (a) State **two** reasons why a business may offer a trade discount to customers.

**(2)**

1 .....

2 .....

Moore is a wholesaler who sells goods on a credit basis to several local retailers.

All his credit customers receive a 10% trade discount.

On 1 March 2024 the following balances were due from his credit customers.

| Customer | $ |
|---|---|
| Park Stores | 400 |
| Green News | 1 256 |
| Mary's Sweets | 176 |

During the month of March 2024, the following transactions took place.

| March 2024 | Transaction |
|---|---|
| 3 | Sold goods on credit to Park Stores, list price $120 |
| 7 | Green News returned goods, list price $50 |
| 11 | Received a cheque from Mary's Sweets in settlement of her account balance on 1 March 2024. |
| 18 | Sold goods on credit to Green News, list price $280 |
| 28 | Received a cheque from Green News in full settlement of its account. |
| 29 | Sold goods on credit to Park Stores, list price $280 |
| 30 | Received a cheque from Park Stores on account, $500 |
| 30 | The cheque received from Mary's Sweets on 11 March 2024 is returned by the bank as dishonoured. |

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## 11. Question 14 · part c · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(b) Prepare the following ledger accounts in the books of Moore.

Balance the accounts on 31 March 2024 and bring the balances down on 1 April 2024.

**(11)**

**Park Stores Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
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**Green News Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
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**Mary's Sweets Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
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## 11. Question 14 · part c · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

Moore is considering offering cash discounts to his credit customers.

(c) State **two** benefits that this may bring to his business.

(2)

1 .....

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2 .....

.....

**(Total for Question 14 = 15 marks)**

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Working and answer

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## 12. Question 11 · part c · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

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**11** (a) State the name of the book of original entry used to record: (2)

cash sales

credit sales.

(b) State the name of the document a business would send to a customer at the end of each month requesting payment. (1)

(c) State **one** reason why a business would offer its customers: (2)

trade discount

cash discount.

**(Total for Question 11 = 5 marks)**

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Working and answer

## 13. Question 6 · part whole · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

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**6** When would a business allow a customer a cash discount?

- ☒ **A** Customer had purchased previously
- ☒ **B** Customer paid in cash
- ☒ **C** Customer paid their account within stated time
- ☒ **D** Customer purchased a large amount of goods

**(Total for Question 6 = 1 mark)**

Working and answer

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